

August 6, 2026 04:05 PM GMT

Hiwin Technologies Corp. | Asia Pacific

July Sales Rose 5% MoM, 34% YoY

In this report, we focus on Hiwin's monthly sales, which we believe could be a catalyst for its share price.

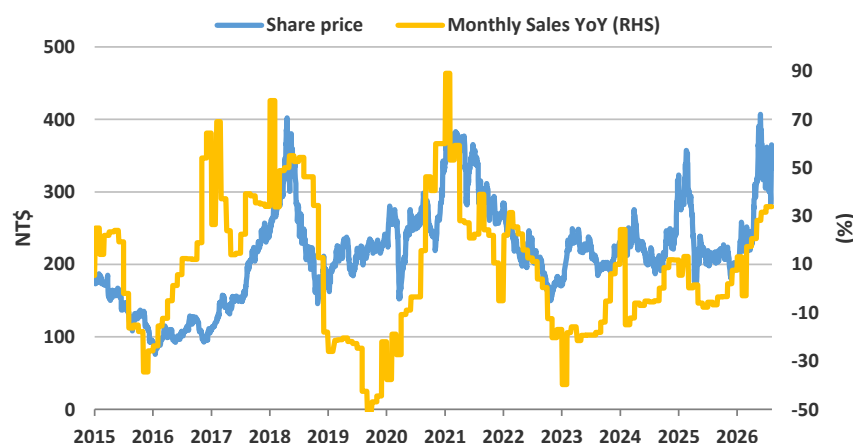
Details:

- July sales were NT\$2,682mn (+5% MoM/+34% YoY).
- QTD revenue was 33% of our 3Q26 estimate at NT\$8,018mn (+7% QoQ/+34% YoY) and 35% of consensus at NT\$7,746mn (+3% QoQ/+29% YoY).

Our view:

- We think 3Q26 is tracking largely in line with expectations.
- Riding on the industry recovery trend, we think Hiwin should see good revenue momentum in the coming quarters and could deliver margin expansion from 2H26 on higher utilization and price hikes.
- We stay constructive on the stock, with current valuation at 34x 2027e P/E vs. a peak cycle level of 35-40x.
- The company is scheduled to release its 2Q26 results on 12 Aug after the market close.

Exhibit 1: Hiwin's monthly sales YoY vs. its share price since 2015



Source: Past performance is no guarantee of future results. Results shown do not include transaction costs. Source: Company data, TEJ, Morgan Stanley Research.

MORGAN STANLEY TAIWAN LIMITED+

Derrick Yang

Equity Analyst

Derrick.Yang@morganstanley.com

+886 2 2730-2862

Vivi Huang

Research Associate

Vivi.Huang@morganstanley.com

+886 2 2730-2860

MORGAN STANLEY ASIA LIMITED+

Andy Meng, CFA

Equity Analyst

Andy.Meng@morganstanley.com

+852 2239-7689

Asia Summer School 2026

Hiwin Technologies Corp. (2049.TW, 2049.TT)

Greater China Technology Hardware | Taiwan

Stock Rating	Overweight
Industry View	In-Line
Price target	NT\$400.00
Up/downside to price target (%)	10
Shr price, close (Aug 6, 2026)	NT\$362.00
52-Week Range	NT\$426.00-180.50
Sh out, dil, curr (mn)	354
Mkt cap, curr (mn)	US\$3,970
EV, curr (mn)	US\$3,958
Avg daily trading value (mn)	US\$40

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT\$)**	4.31	8.77	10.77	12.77
Revenue, net (NT\$ mn)	24,263	30,109	34,798	39,406
EBITDA (NT\$ mn)	4,001	5,976	6,924	7,866
ModelWare net inc (NT \$ mn)	1,526	3,102	3,809	4,517
P/E	45.0	41.3	33.6	28.4
P/BV	1.4	2.4	2.2	2.1
RNOA (%)	3.6	7.7	9.9	11.5
ROE (%)	4.1	8.3	9.6	10.6
EV/EBITDA	12.6	20.8	17.7	15.4
Div yld (%)	1.2	0.6	0.8	1.0
FCF yld ratio (%)**	2.0	3.2	2.2	2.5

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

e = Morgan Stanley Research estimates

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AlphaSignals Catalyst Event Reaction

Company / Catalyst	Date	Impact to thesis	Catalyst versus expectation
Hiwin Technologies Corp. 2049.TW			
July 2026 monthly sales	06 Aug 2026	Unchanged	In-line

Source: Company data, Morgan Stanley Research

Valuation Methodology and Risks

Hiwin Technologies Corp. (2049.TW)

Base case, P/E. We think this valuation methodology better captures Hiwin's earnings growth momentum, as its valuation tends to move with the business cycle. We apply a target multiple of 37x to our 2027 EPS estimate. We view this multiple as justified by the 44% operating profit CAGR we project for 2025-28.

Risks to Upside

- Stronger industrial automation demand pickup.
- Market share gains.
- Earlier-than-expected revenue contribution from humanoids.

Risks to Downside

- Weaker industrial automation demand.
- More pricing pressure.
- Market share loss.
- More broad-based impact on the global economy from geopolitical risks.

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(as of July 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Stock Price, Price Target and Rating History (See Rating Definitions)

Hiwin Technologies Corp. (2049.TW) - As of 08/06/26 GMT in TWD
Industry : Greater China Technology Hardware



Stock Rating History: 8/1/21 : O/I; 8/11/22 : E/I; 2/21/23 : O/I; 8/11/23 : E/I; 5/12/25 : U/I; 2/27/26 : E/I; 3/30/26 : O/I

Price Target History: 1/20/21 : 556.84; 8/5/21 : 480.04; 10/5/21 : 479.6; 2/28/22 : 341.16; 3/24/22 : 301.61; 7/20/22 : 295; 8/11/22 : 230; 11/21/22 : 200; 2/21/23 : 295; 2/27/23 : 283; 5/10/23 : 280; 8/11/23 : 205; 11/13/23 : 220; 2/27/24 : 210; 8/13/24 : 205; 11/12/24 : 225; 2/27/25 : 310; 5/12/25 : 160; 2/27/26 : 210; 3/30/26 : 300; 4/28/26 : 380; 5/11/26 : 400

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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/06/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK\$41.04
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb175.49
BYD Electronics (0285.HK)	O (04/28/2023)	HK\$23.98
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb8.01
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb17.02
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb421.87
Genius Electronic Optical Co. Ltd. (3406.TW)	E (04/23/2025)	NT\$547.00
GoerTek Inc (002241.SZ)	U (04/23/2025)	Rmb23.44
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.77
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb37.45
Largan Precision (3008.TW)	O (07/10/2026)	NT\$4,625.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb7.45
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb12.74
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb55.90
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb7.99
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK\$7.18
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb49.52
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK\$35.32
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb57.40
Sunny Optical (2382.HK)	E (03/23/2026)	HK\$58.45
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb225.28
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb16.76
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK\$26.86
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb328.25
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	O (07/15/2026)	HK\$117.30

Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb105.07
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb27.32
Zhongji Innolight Co Ltd (300308.SZ)	++	Rmb955.00
ZTE Corporation (0763.HK)	O (06/04/2026)	HK\$24.94
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb34.70
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT\$2,410.00
Advantech (2395.TW)	O (01/20/2021)	NT\$622.00
AirTAC International (1590.TW)	O (04/16/2025)	NT\$1,560.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT\$2,940.00
AU Optronics (2409.TW)	E (02/10/2026)	NT\$24.55
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT\$1,060.00
Bizlink (3665.TW)	O (03/10/2025)	NT\$2,370.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb5.96
Chenbro (8210.TW)	O (07/23/2025)	NT\$1,235.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT\$1,975.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT\$1,680.00
E Ink Holdings Inc. (8069.TWO)	O (05/11/2026)	NT\$196.00
Ennostar Inc (3714.TW)	U (09/23/2022)	NT\$57.70
Fositek Corp (6805.TW)	O (06/25/2025)	NT\$1,760.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT\$362.00
Innolux (3481.TW)	E (04/07/2025)	NT\$50.00
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT\$10,100.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb34.82
Lite-On Technology (2301.TW)	E (01/15/2025)	NT\$252.50
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.82
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb6.71
Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb208.00
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT\$30.00
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT\$818.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT\$187.50
Compal Electronics (2324.TW)	U (04/23/2025)	NT\$37.30
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK\$5.89
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb68.27
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT\$344.00
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT\$985.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT\$264.50
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb76.79
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT\$2,375.00
Lenovo (0992.HK)	O (07/10/2026)	HK\$25.94
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT\$1,970.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT\$1,105.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT\$88.00
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT\$302.00
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb127.25
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb353.99
Unimicron (3037.TW)	O (02/23/2026)	NT\$973.00
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT\$372.00
Wistron Corporation (3231.TW)	O (07/12/2023)	NT\$189.50
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT\$6,265.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT\$570.00
Zhen Ding (4958.TW)	O (05/18/2026)	NT\$482.00

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